

MARKET REPORT

OFFICE 3Q/26

Los Angeles Metro Area

Marcus & Millichap

Broad Vacancy Declines Accompany Multi-Office Strategies; Studio Merger a Risk

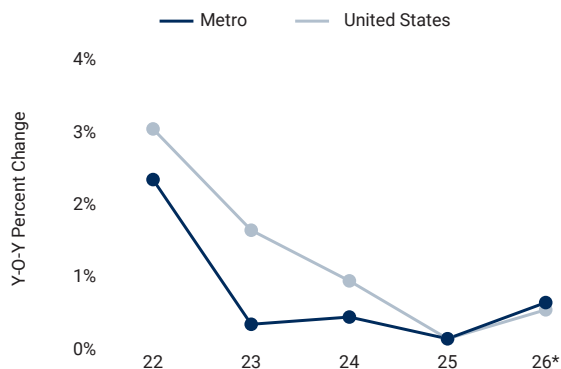
Distributed demand supports tightening. Five of the metro's six largest office submarkets posted vacancy declines in the year ended June, led by drops of at least 60 basis points in West Los Angeles, South Bay, and San Fernando Valley. Distinct demand drivers supported each node, including law and finance in Century City and Beverly Hills, aerospace and defense in Torrance and Long Beach, and a broad mix of midsize tenants in the Valley. Downtown Los Angeles posted more modest compression amid persistent rightsizing and a broader shift away from concentrated footprints. The metro's polycentric structure is encouraging firms such as KPMG, Deloitte, and Sidley Austin to split operations across multiple districts to reach dispersed employees and clients.

Legacy media headwinds persist. Burbank shows the risk of concentrated tenant demand, with negative absorption persisting amid weakness in its traditional entertainment base. Local film production fell 13 percent year-over-year in the second quarter and remained 36 percent below its five-year average. The proposed Paramount Skydance-Warner Bros. merger adds further consolidation risk if the deal clears a March 2027 trial. Diversification into digital media and other creative industries may therefore be increasingly important to Burbank's recovery.

Employment

Education and health services drove nearly all job gains year to date through July, adding about 18,000 positions. Office-using sectors were mixed, with losses in financial activities and professional services offset by information gains. The entertainment industry still faces headwinds, with the proposed Paramount Skydance-Warner Bros. merger putting roughly 2,500 local corporate positions at risk. Meanwhile, planned South Bay investments by Anduril and Hadrian could support stronger hiring in advanced manufacturing.

EMPLOYMENT TRENDS



* Forecast

Sources: BLS; CoStar Group, Inc.

2026 FORECAST



EMPLOYMENT

26,000

0.6%

Jobs will be created Increase Y-O-Y



CONSTRUCTION

1,400,000

0.4%

Sq. ft. will be added Inventory increase Y-O-Y



VACANCY

19.8%

30

Vacancy rate BPS decrease Y-O-Y



RENT

\$39.50

0.3%

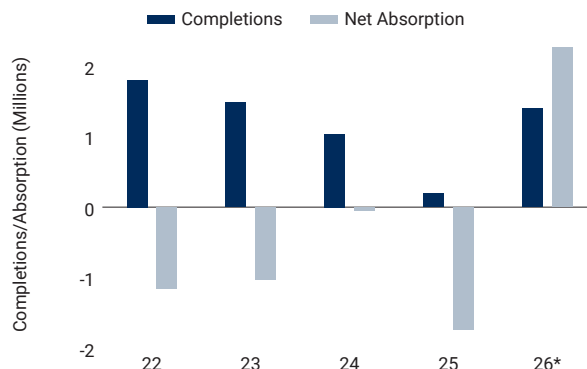
Average asking rent by year-end Decrease Y-O-Y



Construction

Completions will remain below historical norms this year, with the 825,000-square-foot Century City Center accounting for most new supply when it opens in October. Although roughly 90 percent is leased, the tower may still pressure vacancy as many tenants consolidate from nearby offices, including CAA's 400,000-square-foot headquarters. Meanwhile, new citywide adaptive reuse rules could accelerate conversions of older commercial buildings to housing, potentially helping remove outdated office stock.

CONSTRUCTION TRENDS

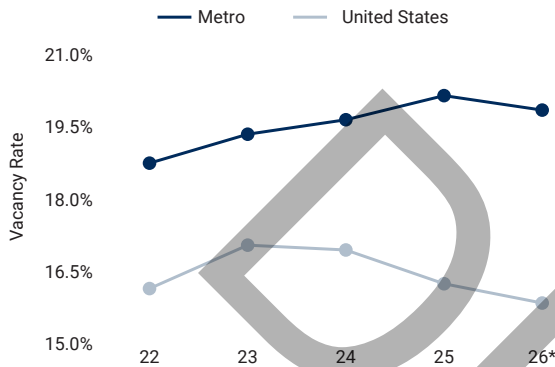




Vacancy

A decline in vacancy year to date as of June is expected to put the metro on track to record its first annual vacancy decline since before the pandemic. The most challenged districts include Downtown Los Angeles, Inglewood, and the LAX area, where vacancy exceeds 23 percent, while rates remained near 20 percent in Santa Monica, Mid-Wilshire, and Burbank. Meanwhile, vacancy stayed around 15 percent or lower in Beverly Hills, Long Beach, and San Fernando Valley, with Torrance at just 10 percent.

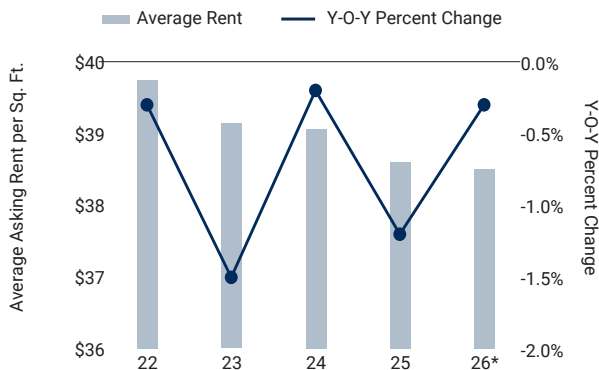
VACANCY TRENDS



Rent

Rents are expected to edge lower for a fifth consecutive year in 2026, as metro vacancy remains more than 600 basis points above its pre-pandemic average. Owners will likely continue to offer sizable tenant improvement packages, concessions, and flexible lease terms to attract and retain tenants. Nevertheless, trophy offices should outperform, with leases above \$50 per square foot still being signed in El Segundo, along the Route 2 corridor in West Los Angeles, and at select Burbank properties.

RENT TRENDS



* Forecast ** Through 2Q

Sources: CoStar Group, Inc.; Real Capital Analytics

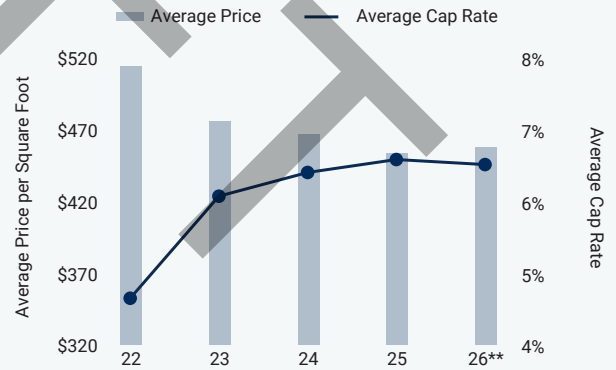
INVESTMENT HIGHLIGHTS

- Private investment accelerated in the second quarter of 2026, with deal count reaching its highest quarterly total in a year. West Los Angeles should remain a key target, aided by a deep corporate and professional-services base that sustains the metro's highest rents. Assets along the Wilshire-to-Westwood corridor could draw more buyers after the first D Line extension opened in May, with additional sections due in 2027, improving access between employment nodes and expanding the labor pool available for nearby businesses.

- Investors are becoming more active in smaller office districts extending east from Pasadena into the San Gabriel Valley. Notably, office vacancy in the San Gabriel Valley stood below 7 percent as of June, aligning with the broader southeast portion of the metro, where offices predominantly consist of sub-50,000-square-foot buildings serving local businesses. Tight availability may be giving investors confidence to acquire older, outdated assets with some vacancy and pursue capital upgrades to attract tenants at higher rents.

- Institutional investment is picking up despite Measure ULA, as large basis resets help buyers and sellers align on pricing. This includes owner-users, who are capitalizing on subdued values, while investors have also been more active in Downtown and Mid-Wilshire. Highly vacant assets often traded near \$100 per square foot, while select properties built after 2015 exceeded \$300 per square foot despite vacancy. Pasadena and Long Beach are also drawing large buyers seeking lower-basis deals outside Measure ULA's reach.

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